

Graphic

STOP
**When the people
find that they can**

vote

**themselves money,
that will herald the
end of the republic.**

SUPPRESSION
Ben Franklin

Basic Intro

“Trickle-Down Economics”-

An understanding of a failed (and failing) concept¹ -

1. The old standard
 - a. High taxes centered on the most wealthy to equalize the playing field, promote a healthy and vibrant middle class, and support the public good.
2. What systems exist for those without wealth to stimulate business on their own?
 - a. Banks
 - b. Private equity
 - c. Government (compelling government interest)
3. What are the problems with these forms of investment?
 - a. Well - they require a lot of “*proof of concept*”
 - i. Proof of concept defined -
 1. “evidence, typically deriving from an experiment or pilot project, which demonstrates that a design concept, business proposal, etc. is feasible.”²
 - b. What qualifies as *proof of concept*?

Well...

¹ Important note: this initial description is based in U.S. economics - but the variables function similarly aside from tax percentage

² Proof of concept, N. meanings, etymology and more. (n.d.).

https://www.oed.com/dictionary/proof-of-concept_n

Banks

Banks

- a. High FICO score (takes a long time and solid financial management)
- b. Previous sales and projected success
- c. Growth plan
- d. Often an already prosperous business that wants to grow and needs quick capital

Private Equity

Private equity³

- a. Similar requirements except for FICO score - which is not considered aside from financial “*integrity*”
 - b. Previous sales and projected success
 - c. Growth plan
 - d. Often an already prosperous business that wants to grow and needs quick capital
2. ***Strong market position and sustainable competitive advantages:***
- a. This may seem obvious, but strong LBO candidates include companies that are market leaders with sustainable business models. This can be characterized by
 - i. SHH
 1. Strong customer relationships.
 2. High barriers to entry.
 3. High switching costs.
3. ***Multiple avenues of growth:***
- a. It is always helpful to have a balanced and diverse growth strategy, so that a company’s success is not completely reliant on one driver. This could include growth through the
 - b. introduction of new products,
 - c. increasing in the number of locations,
 - d. new customers,
 - e. increasing the penetration of current customers (upselling products),
 - f. exploring adjacent industries,
 - g. expanding into new geographies, among other possibilities.
4. ***Stable, recurring cash flows:***
- a. Due to the reliance on high leverage, PE firms must find companies with stable and recurring cash flows in order to have sufficient cash flow to service all of its debt requirements. This requires LBO to have relatively low exposure to seasonal fluctuations in cash flows,
 - b. as well as low sensitivity to cyclical fluctuations
 - i. (i.e., relatively immune to economic downturns and/or commodity prices).
5. ***Low capital expenditure requirements:***
- a. Companies with low maintenance capital expenditure requirements provide management more flexibility in terms of how it can allocate the company’s capital and run its operations:
 - b. It’s all what? A GIMIC
 - c. Growth in its core operations,
 - d. Investing in growth capital expenditures,
 - e. Making bolt-on acquisitions,

³ Streetofwalls. Street Of Walls. (n.d.).

<https://www.streetofwalls.com/finance-training-courses/private-equity-training/private-equity-investment-criteria/>

- f. Intensive-capital businesses will typically generate lower valuations from private equity firms since there is less available capital (after interest expense), and there is increased financial risk in the deal.

i. capital to its shareholders in the form of a **dividend**.

6. Favourable industry trends:

- a. Private equity firms are continually searching for companies that are **well-positioned** to benefit from attractive industry trends,
- b. “8 billion dollar industry, if we get even one percent...” ← NEVER SAY THIS
- c. since it results in **above market growth** and provides **stronger equity return potential** as well as **stronger downside protection for the investment.**

i. Examples include ACID!

1. Adoption of a disruptive technology.
2. Changing customer habits.
3. Increasing automation and regulation.
4. Digitalization, changing demographics.

7. Strong management team:

- a. A strong management team is crucial to success as private equity firms will provide strategic guidance but will almost **exclusively** **rely on management** to execute their operating strategy. If a company does not have a strong management team, the **private equity firm must have a replacement ready before even seriously contemplating the investment.**

8. Multiple areas to create value:

- a. In addition to the characteristics above, a good LBO target candidate will also have multiple areas where the **PE firm can create additional value.**

i. Examples include **DISPO!**

1. Diversifying the customer base.
2. Increasing the efficiency of operations.
3. Selling underperforming assets.
4. Pricing optimization.
5. Organizational structure.

Congress

Government (privatization) ⁴

- a. Federal agencies that have the proper legal authority granted by Congress can invest funds in Government Account Series (GAS) securities with the Department of the Treasury (Treasury). The Treasury will review and document all new investment authority prior to initial investment activity.
 - i. More recently, in the 114th and 115th Congresses, legislation was proposed to create a nonprofit corporation to provide air traffic control services that are currently administered by the Federal Aviation Administration
 1. January 3, 2015, to January 3, 2019
- b. The purpose of the Federal Investments Program is to facilitate these investments on behalf of the Treasury. The Federal Investments Program represents about one fifth of the public debt outstanding, providing services to approximately 240 trust, deposit, and special Funds.
- c. Are there limits - of course!
 - i. In the most recent Supreme Court case on this issue, *Department of Transportation v. Association of American Railroads*,²¹ the Supreme Court reviewed a determination by the U.S. Court of Appeals for the District of Columbia Circuit (D.C. Circuit) that concluded that Amtrak was a private entity "with respect to Congress's power to delegate regulatory authority."²² Consistent with that threshold determination, the D.C. Circuit invalidated joint regulations established by Amtrak and the Federal Railroad Administration (FRA) pursuant to the Passenger Rail Investment and Improvement Act of 2008 (PRIIA).²³ These joint regulations set performance metrics and standards to enforce Amtrak's statutory priority over other trains.²⁴ The standards would have been used in part to determine when the Surface Transportation Board should investigate if delays in Amtrak's passenger rail service are being caused by freight railroad operators failing to comply with their statutory mandate to prioritize Amtrak traffic over freight traffic on their tracks
 - ii. Overall - "intelligible principle test"
 1. The "intelligible principle" test requires that Congress, not the delegatee, be the entity that delineates a legal framework to guide and constrain the authority of the delegatee, such as a federal executive agency.⁵² Congressional delegation of regulatory power to a federal agency is often accompanied by the authority to implement the delegation through rulemaking.⁵³
 2. The Supreme Court has upheld very broad congressional delegations of authority to federal agencies as satisfying the "intelligible principle" test,⁵⁴ having invalidated federal laws only twice under the test.⁵⁵ For example, the Court has previously held that broad delegations to regulate in the "public interest" or a "fair and equitable" manner satisfy the "intelligible principle" test.⁵⁶

⁴ Private entities and legislative power delegations | Constitution ... (n.d.-a).
https://constitution.congress.gov/browse/essay/artI-S1-6-5/ALDE_00001324/['fourteenth', "amendment", "section", '3']

Solution? Not Really

WORK IN PROGRESS -

Youth trust in government -

<https://www.aa.com.tr/en/europe/over-half-of-young-germans-do-not-trust-their-government-study/3129203#>

NGOs increasing since the third wave of democratization - as well as wide sentiment of cost

<https://www.cambridge.org/core/journals/international-organization/article/assault-on-civil-society-explaining-state-crackdown-on-ngos/71993D2DC576D810ADEC7675C229853B>

US Detailed Federal Income Tax Marginal Rates

US Detailed Federal Income Tax Marginal Rates⁵

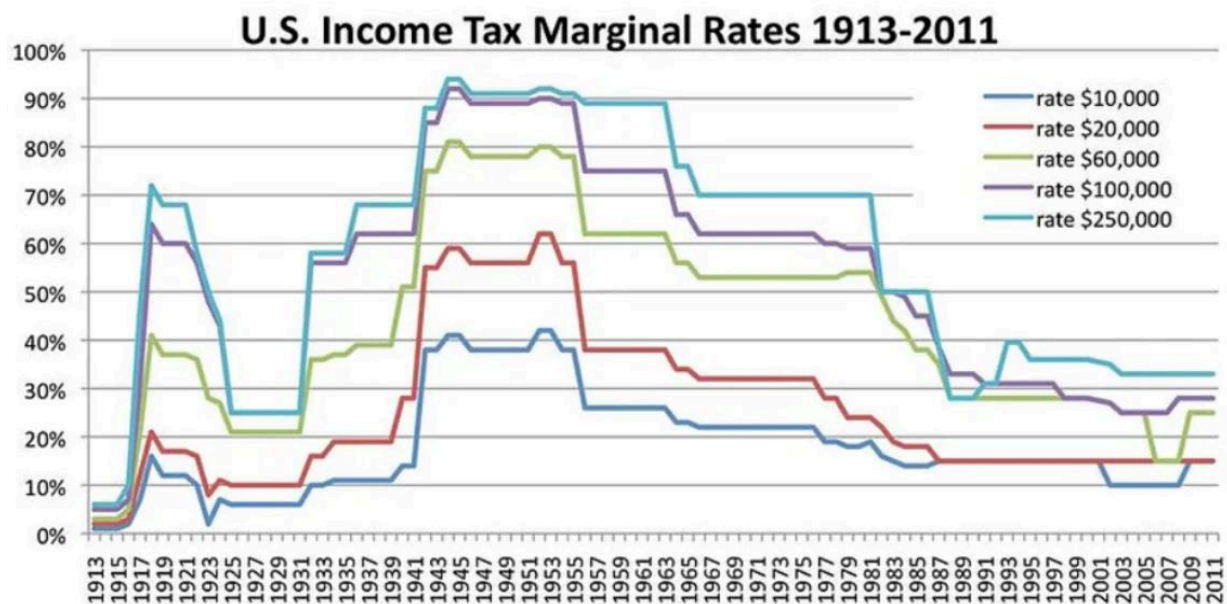
The US is the most detailed historical record (*for obvious reasons*)

- Since Reagan, taxes have taken on a horrendous connotation.
- We have forgotten historical precedent in lieu of this relatively new (and ineffective)
Trickle-down...
- It is redundant to point out that trickle-down economics do not work,
- What is important is the correlation between tax rates and health of democracy -

Historical Highest Marginal Income Tax Rates

Year	Top Marginal Rate	Year	Top Marginal Rate	Year	Top Marginal Rate
1913	7.0%	1946	86.45%	1979	70.00%
1914	7.0%	1947	86.45%	1980	70.00%
1915	7.0%	1948	82.13%	1981	69.13%
1916	15.0%	1949	82.13%	1982	50.00%
1917	67.0%	1950	91.00%	1983	50.00%
1918	77.0%	1951	91.00%	1984	50.00%
1919	73.0%	1952	92.00%	1985	50.00%
1920	73.0%	1953	92.00%	1986	50.00%
1921	73.0%	1954	91.00%	1987	38.50%
1922	56.0%	1955	91.00%	1988	28.00%
1923	56.0%	1956	91.00%	1989	28.00%
1924	46.0%	1957	91.00%	1990	31.00%
1925	25.0%	1958	91.00%	1991	31.00%
1926	25.0%	1959	91.00%	1992	31.00%
1927	25.0%	1960	91.00%	1993	39.60%
1928	25.0%	1961	91.00%	1994	39.60%
1929	24.0%	1962	91.00%	1995	39.60%
1930	25.0%	1963	91.00%	1996	39.60%
1931	25.0%	1964	77.00%	1997	39.60%
1932	63.0%	1965	70.00%	1998	39.60%
1933	63.0%	1966	70.00%	1999	39.60%
1934	63.0%	1967	70.00%	2000	39.60%
1935	63.0%	1968	75.25%	2001	38.60%
1936	79.0%	1969	77.00%	2002	38.60%
1937	79.0%	1970	71.75%	2003	35.00%
1938	79.0%	1971	70.00%	2004	35.00%
1939	79.0%	1972	70.00%	2005	35.00%
1940	81.10%	1973	70.00%	2006	35.00%
1941	81.00%	1974	70.00%	2007	35.00%
1942	88.00%	1975	70.00%	2008	35.00%
1943	88.00%	1976	70.00%	2009	35.00%
1944	94.00%	1977	70.00%	2010	35.00%
1945	94.00%	1978	70.00%	2011	35.00%

Note: This table contains a number of simplifications and ignores a number of factors, such as a maximum tax on earned income of 50 percent when the top rate was 70 percent and the current increase in rates due to income-related reductions in value of itemized deductions. Perhaps most importantly, it ignores the large increase in percentage of returns that were subject to this top rate.

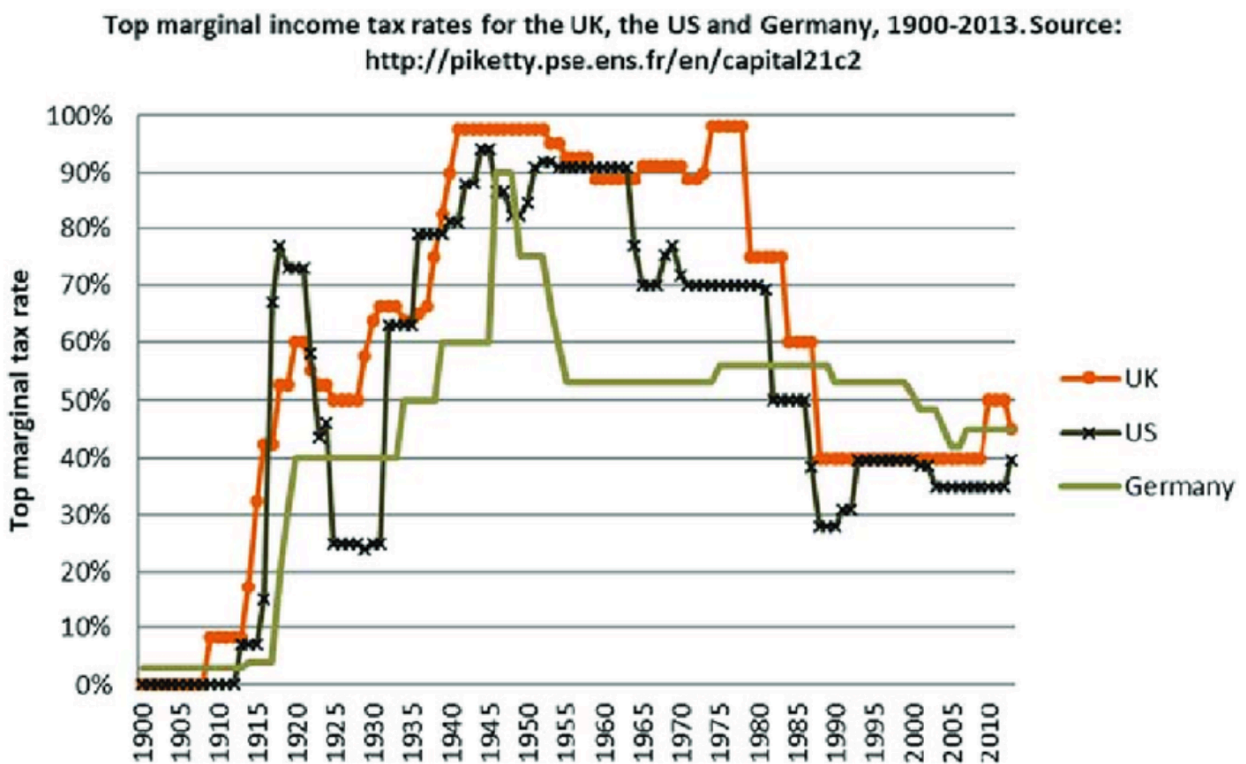


⁵ Turner, W. B. (2019, February 21). *Where the 90 percent tax rate really came from*. Medium.
<https://wbtpdhdj.medium.com/where-90-percent-tax-rate-really-came-from-e3834f0e56b>

UK, Germany, and US Tax Rates

UK, Germany, and US Tax Rates

Global marginal tax rates saw a direct drop around the time of Reagan's presidency.



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⁶ Figure 3. top income tax rates 1900-2013. source:... (n.d.-a).
https://researchgate.net/figure/Top-income-tax-rates-1900-2013-Source-pikettyseensfr-capital21c-Piketty-2014_fig3_339024030

US and Euro Privatization -

US Privatization⁷ -

Discretionary spending US

<https://www.axios.com/2023/03/09/biden-budget-government-spending-charted>

1. “Republicans are often loud about their desire to reign in spending, and lower the national debt.”

- a. Which spending?

What did we talk about earlier?

DISCRETIONARY SPENDING

2. Government (privatization) - Important snippets⁸

- a. **Federal agencies** that have the **proper legal authority granted by Congress** can invest **funds in Government Account Series (GAS) securities** with the Department of the Treasury

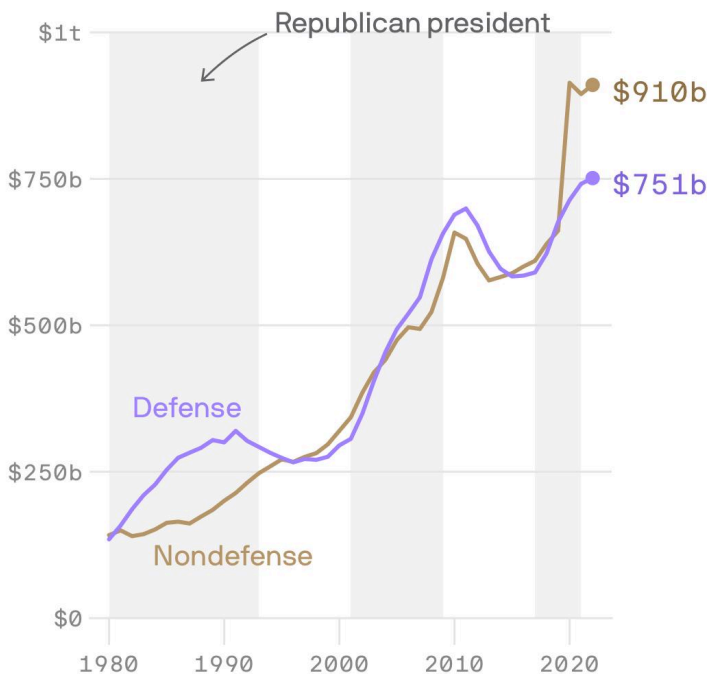
(Treasury). The Treasury will review and document all new investment authority prior to initial investment activity.

- More recently, in the 114th and 115th Congresses, legislation was proposed to create a nonprofit corporation to provide air traffic control services that are currently administered by the Federal Aviation Administration

- January 3, 2015, to January 3, 2019

- The purpose of the Federal Investments Program is to facilitate these investments on behalf of the Treasury. **The Federal Investments Program represents about one fifth of the public debt outstanding**, providing services to approximately 240 trust, deposit, and special Funds.

← Discretionary Spending Since 1980



⁷ Charted: How U.S. government spending has ballooned since 1980. (n.d.-a).

<https://www.axios.com/2023/03/09/biden-budget-government-spending-charted>

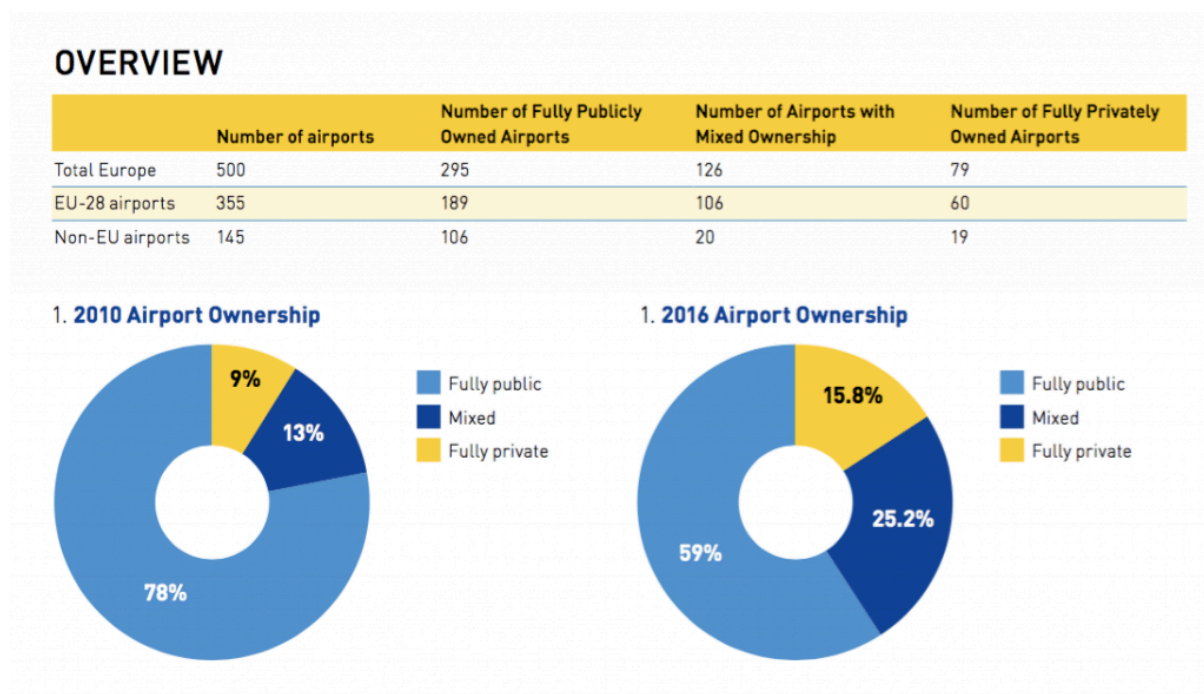
⁸ Private entities and legislative power delegations | Constitution ... (n.d.-a).

[https://constitution.congress.gov/browse/essay/artI-S1-6-5/ALDE_00001324/\['fourteenth', 'amendment', 'section', '3'\]](https://constitution.congress.gov/browse/essay/artI-S1-6-5/ALDE_00001324/['fourteenth', 'amendment', 'section', '3'])

European Privatization -

In Aviation -

Examples of the larger trend



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Since 2010, 100 new airports have had some level of private investment, more than doubling the total number of European airports with private shareholders so that three out of every four passengers in Europe today travel through an airport which are now traveling through an airport with private shareholders.

⁹ Garcia, M. (2016, March 8). *EU airports increasingly turn to private investment to compete with global counterparts*. Skift.
<https://skift.com/2016/03/08/eu-airports-increasingly-turn-to-private-investment-to-compete-with-global-counterparts/>

German Privatization

German Privatization¹⁰

“The idea was to get the German population more involved in the stock market. The new shareholders were supposed to come from all walks of life and participate more in the social market economy.”

- The privatization of German services is hard to grasp and see because of privatization from the Berlin Wall
 - However
 - The trend is there



Another trend that has become apparent over the past 20 years is the fact that institutional investors have increasingly come to the fore in the privatization of state-owned companies. "Today's privatizations are essentially driven by the idea that state-owned companies have to become more efficient. The investors are from capital markets. That is a completely different rationale," emphasized Sack.

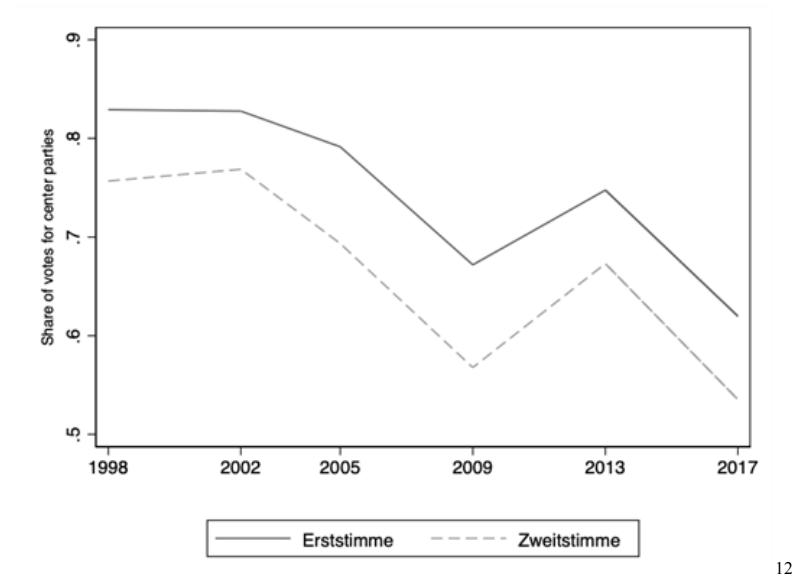
- He sees the privatization of municipal and cooperative housing associations as a big mistake though.
 - "Looking back, those were mistakes. But it must be said that it goes hand in hand with other trends, namely that not enough apartments were built."
 - In addition, the public sector did not provide sufficient subsidies for affordable housing.
- Sack puts part of the blame on local and state government officials for the current housing shortage in major German cities and the explosion in rents.
- "They didn't realize it in time and didn't take timely countermeasures."
 - The privatizations in the housing sector had a share in the sharp rise in housing costs, but they were "not the decisive factor," he stressed.

¹⁰ Kohlmann, T. (2021, October 22). *Germany's privatization of State assets: Winners and losers* – DW – 10/22/2021. [dw.com](https://amp.dw.com/en/germanys-privatization-of-state-assets-a-role-model-for-india/a-59587563).
<https://amp.dw.com/en/germanys-privatization-of-state-assets-a-role-model-for-india/a-59587563>

Polarization and Privatization

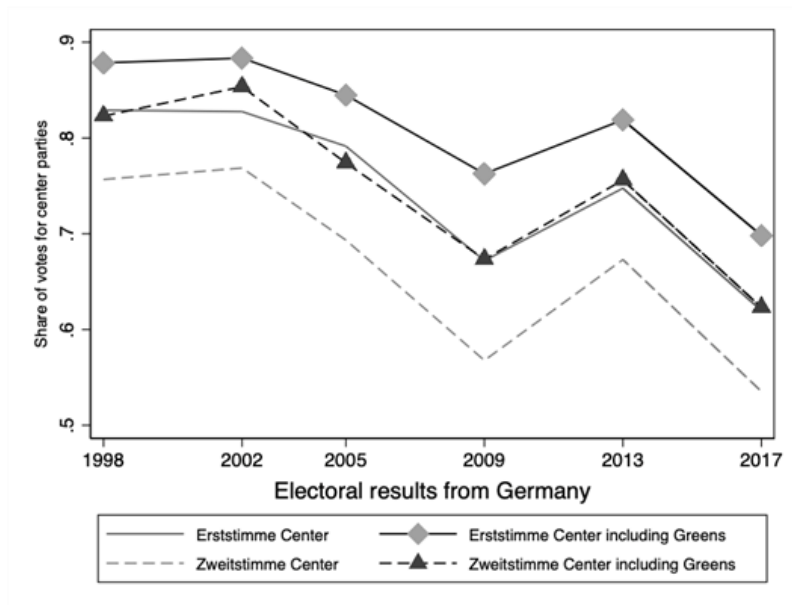
Privatization and Polarisation

*German polarisation measured by “decline of the center”**¹¹



12

Including the Green Party?



¹¹ *Perhaps flawed measurement but there's always room for more research

¹² *The decline of the political center in Germany*. AGI. (n.d.).

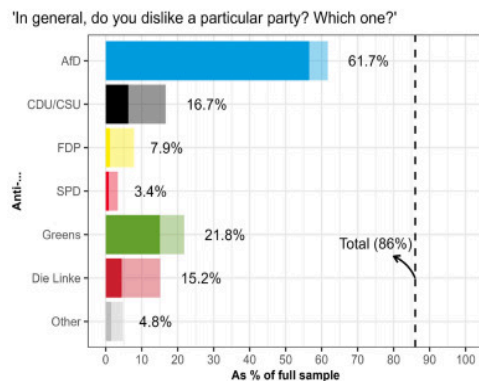
<https://americangerman.institute/2021/09/the-decline-of-the-political-center-in-germany/>

Polarization and Partisanship

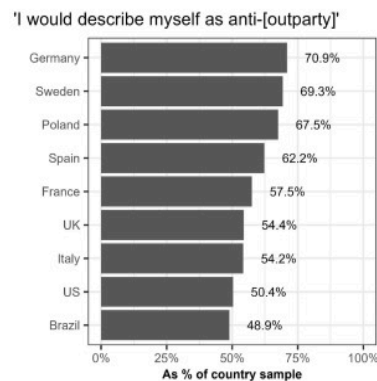
Polarization and Partisanship

- For instance, after an interview with Herbert P. Kitschelt, a political scientist at Duke University,
 - New York Times columnist Thomas B. Edsall wrote that “too much of the debate over affective polarization and democratic backsliding has been restricted to the analysis of competing psychological pressures.” Instead of a “myopic and U.S.-centric” focus on psychology, Kitschelt said, it is important to acknowledge the incentives “for politicians to prime this polarization and stoke the divides, including fanning the flames of affective polarization.”²⁰⁰

(a) PINCET (Germany 2021)



(b) CONAP



• Meanwhile, Brendan Nyhan, a political scientist at Dartmouth, explained, “we should renew our scrutiny of the role of elites and political systems in fomenting illiberal behavior.” To him, the problem “is not affective polarization as such; it’s a political system that is failing to contain

significant democratic erosion and illiberalism being driven by G.O.P. elites (though affective polarization may help encourage and enable such tactics).¹³

- The U.S. government-funded Political Instability Task Force, charged with finding the variables most correlated with a regime facing instability or war, found that factionalized political parties where multiple identities aligned with partisanship was the most correlated variable with future conflict, in part because of the ways that correlation incentivized politicians to amplify the fissures politically
 - Instead of partisanship - we have evolved into DE-partisanship in Germany (and elsewhere)¹⁴

■ *Authors note*¹⁵:

¹³(o. D.). *Polarization, Democracy, and Political Violence in the United States: What the Research Says*. Carnegie Endowment For International Peace.

<https://carnegieendowment.org/research/2023/09/polarization-democracy-and-political-violence-in-the-united-states-what-the-research-says?center=europe&lang=en>

¹⁴João Areal, & partisanship, A. (2024, July 14). *Beyond disdain: Measurement and consequences of negative partisanship as a social identity*. Electoral Studies.

<https://www.sciencedirect.com/science/article/pii/S0261379424000891>

¹⁵ (in my opinion it is equally or more problematic)

Corollary?

So what?

*What are markers of a healthy democracy?*¹⁶

No democracy is complete without a side of **FRIES**

1. **Fair Processes**

- a. As the mechanics of democracy, fair processes respect the principle of “one person, one vote” and hold policy-making institutions accountable through checks and balances.

2. **Responsive Policy**

- a. As an output of democracy, responsive policy weighs all citizens’ interests and values equally, provides for the common good, and establishes institutions that empower individuals to protect their rights.

3. **Information & Communication**

- a. These elements mediate the relationship between citizens, processes, and policy. Information and communication that are representative, accurate, and trusted ensure fair processes and enable citizens to hold policymakers accountable.

4. **Empowered Citizens**

- a. The people are the principal actors in a democracy. Citizens are empowered when their rights are protected, they are informed, and fellow citizens and policymakers proactively engage them in the democratic process.

5. **Social Cohesion**

- a. A shared sense of purpose and identity is implicit in the enduring phrase “we the people.” A democratic society’s members recognize each other’s right to a voice in the political process and are willing to collaborate for common ends.

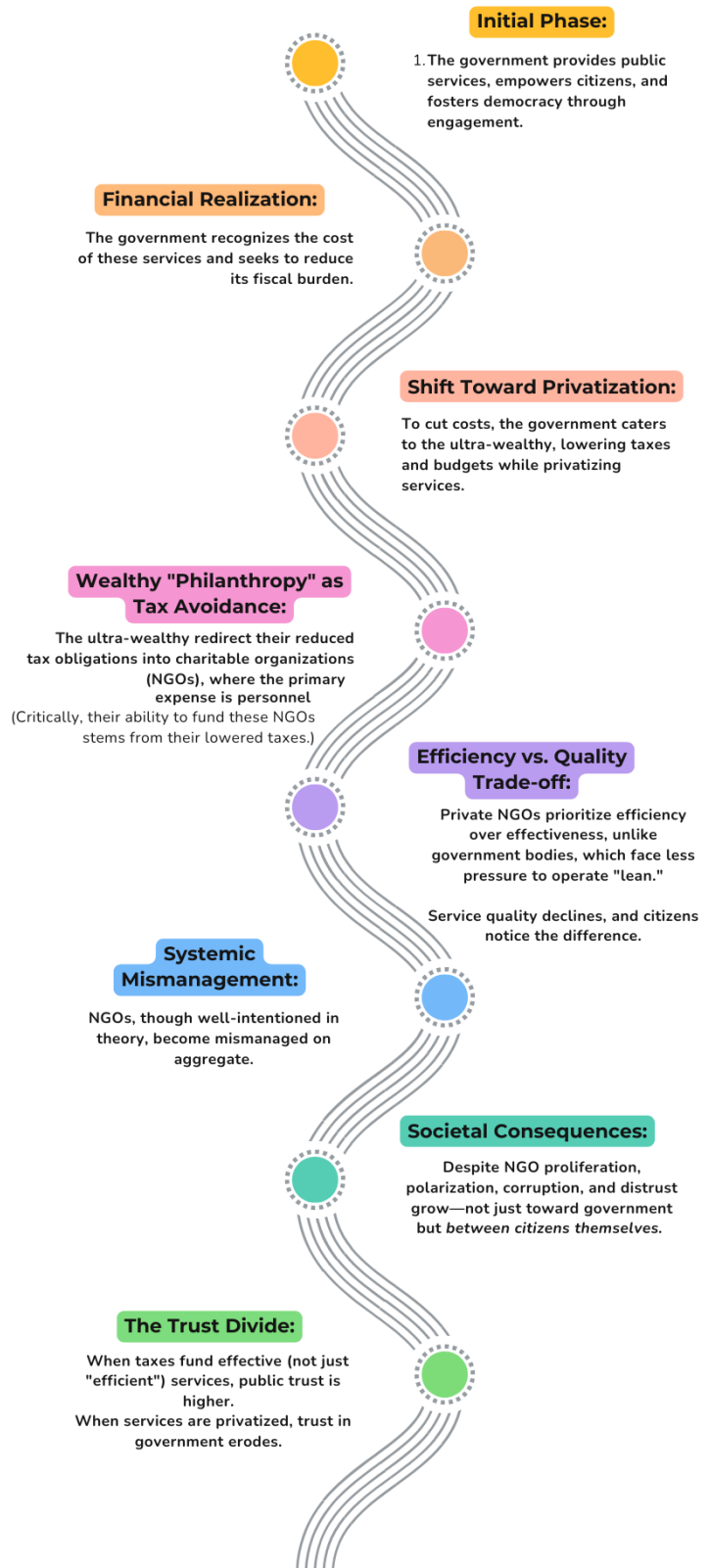
¹⁶ *5 elements of a strong democracy*. Center for High Impact Philanthropy - University of Pennsylvania. (2023, December 7). <https://www.impact.upenn.edu/framework-for-healthy-democracy/>

Proposed Solution:

Governments should partner closely with NGOs to create direct citizen-government interaction.

This may sound contradictory, but securing public funding for these services could restore the trust and relationships that existed when services were fully public.

The Cycle of Privatization and Eroding Trust



Conclusion

This presentation serves as a framework for why NGOs are bound to fail at some point unless we naturally become what public services used to be -

Switching the narrative to a public service rather than a service by the public is necessary if we are to see trust in communities rise again

NGOs are the replacement, let's start acting like it.

'Many forms of Government have been tried, and will be tried in this world of sin and woe.'

'No one pretends that democracy is perfect or all-wise.'

'Indeed it has been said that democracy is the worst form of Government - except for all those other forms that have been tried from time to time....'

- Winston Churchill